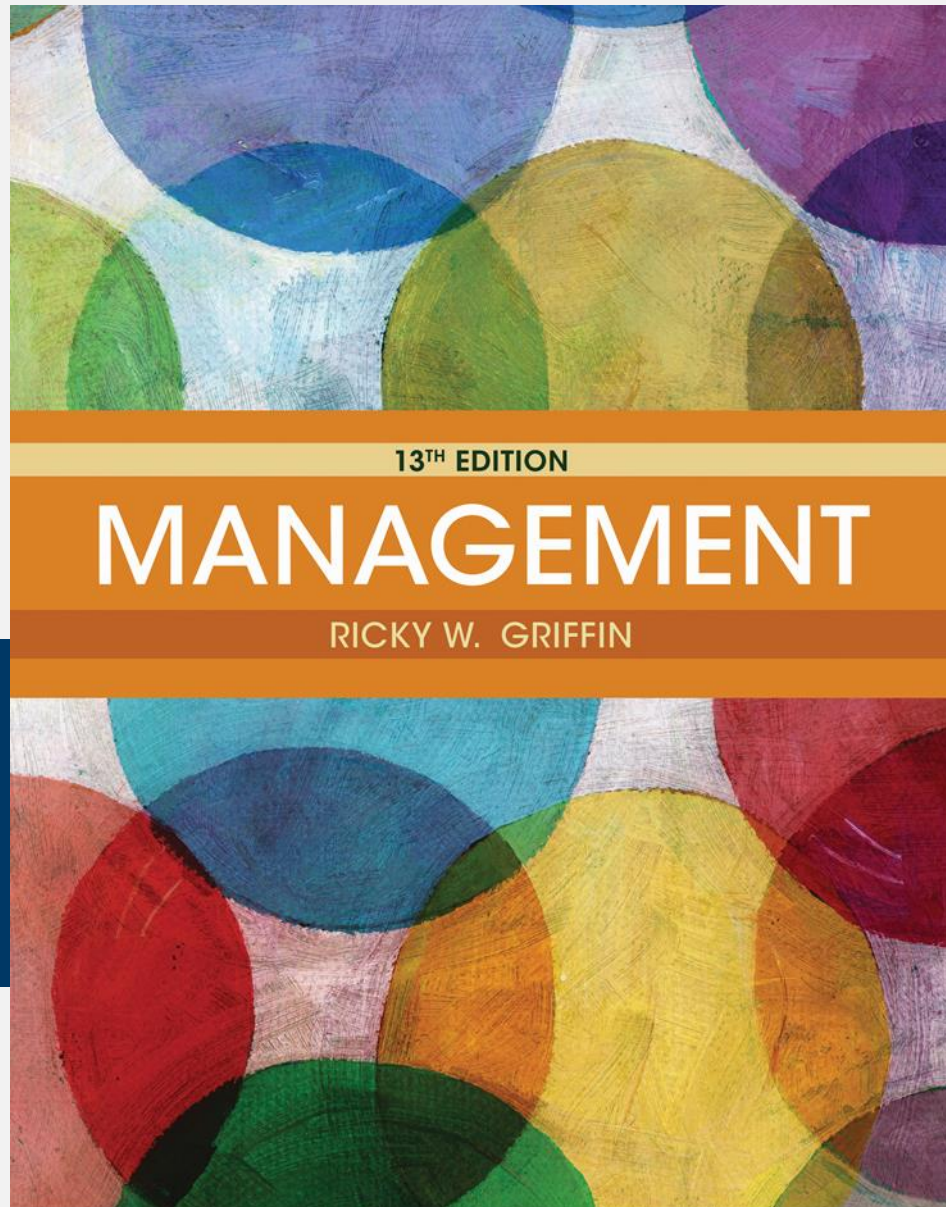




# Management

## Chapter One: Managing and the Manager's Job

# Warm Up

Who are inspirational leaders that you admire? Do you think they would make good managers? Why or why not?

- What qualities and traits do you think are essential for a manager to have in order to create a successful business?



# Learning Objectives (1 of 2)

By the end of this chapter, you should be able to:

1-1: Describe the concepts of managers and management and their importance to contemporary organizations.

1-2: Explain the four basic management functions in organizations.

1-3: Describe the kinds of managers found at different levels and in different areas of the organization.



# Learning Objectives (2 of 2)

By the end of this chapter, you should be able to:

1-4: Identify the basic managerial roles played by managers and the skills they need to be successful.

1-5: Discuss the science and the art of management, how people become managers, and the scope of management in organizations.

1-6: Characterize the new workplace that is emerging in organizations today.



# 1-1 An Introduction To Management (1 of 3)

## Organization:

- A group of people working together in structured and coordinated fashion to achieve a set of goals

## Management:

- A set of activities directed at an organization's resources to achieve organizational goals in an efficient and effective manner
- More elusive to define
- All organizations use four basic resources from the environment

# 1-1 An Introduction To Management (2 of 3)

Four basic resources from the environment:

1. Human resources: Managerial talent and labor
2. Financial resources: Capital used to finance ongoing and long-term operations
3. Physical: Raw materials, facilities, and equipment
4. Information: Usable data need to make effective decisions

# 1-1 An Introduction To Management (3 of 3)

**Management should be:**

**Efficient:**

- Using resources wisely and in a cost-effective way
  - Producing high-quality products at low costs

**Effective:**

- Making the right decisions and successfully implementing them
  - Producing enough, but not too much so as to carry inventory

# Discussion Question #1

- What are some typical routine activities for managers?
- Do these activities change when managing a remote workforce?
- What special considerations might be needed when managing a remote workforce?



# 1-2 The Management Process (1 of 3)

- **Manager:**
  - Someone whose primary responsibility is to carry out the management process
- **Planning:**
  - Setting an organization's goals and deciding how best to achieve them
- **Decision making:**
  - Part of the planning process that involves setting a course of action from a set of alternatives

# 1-2 The Management Process (2 of 3)

- **Organizing:**
  - Determining how activities and resources are to be grouped
- **Leading:**
  - The set of processes used to get members of the organization to work together to further the interests of the organization
- **Controlling:**
  - Monitoring organizational progress toward goal attainment

# 1-2 The Management Process (3 of 3)

- **Management involves four basic activities:** Planning and decision making, organizing, leading, and controlling
- Most managers engage in more than one activity at a time and often move between activities in unpredictable ways.



**FIGURE 1.2**

## **The Management Process**

Management involves four basic activities—planning and decision making, organizing, leading, and controlling. Although there is a basic logic for describing these activities in this sequence (as indicated by the solid arrows), most managers engage in more than one activity at a time and often move back and forth between the activities in unpredictable ways (as shown by the dotted arrows).

# Knowledge Check 1

- What is considered by many to be the most important and the most challenging of all managerial activities?
  - A. Planning
  - B. Organizing
  - C. Leading
  - D. Controlling

**QUESTION**



# Knowledge Check 1: Answer

- What is considered by many to be the most important and the most challenging of all managerial activities?

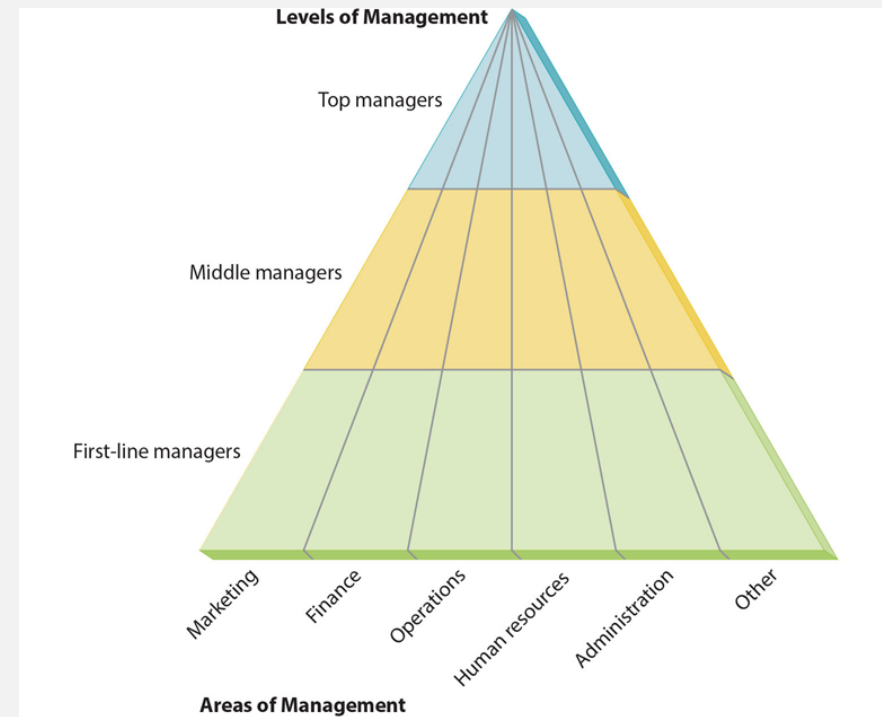
C. Leading

- Leading is the set of processes used to get members of the organization to work together to further the interests of the organization. Some people consider leading to be both the most important and the most challenging of all managerial activities.



# 1-3a Managing at Different Levels of the Organization

**Levels of management:** The differentiation of managers into three basic categories—top, middle, and first-line



**FIGURE 1.3**

## **Kinds of Managers By Level and Area**

Organizations generally have three levels of management, represented by top managers, middle managers, and first-line managers. Regardless of level, managers are also usually associated with a specific area within the organization, such as marketing, finance, operations, human resources, administration, or some other area.

# 1-3 Managing at Different Levels (1 of 2)

## Top managers:

- The relatively small group of executives who manage the overall organization. They create the organization's goals, overall strategy, and operating policies.
  - Vice presidents, CEO, CFO

# 1-3 Managing at Different Levels (2 of 2)

## **Middle managers:**

- Primarily responsible for implementing the policies and plans developed by top managers. They also supervise and coordinate the activities of lower-level managers.
  - Plant manager, division head, operations

## **First-line managers:**

- Supervise and coordinate the activities of operating employees.
  - Supervisor, coordinator, office managers

# 1-3b Managing in Different Areas of the Organization (1 of 2)

- **Marketing managers:**
  - Sell the product and work in new-product development, promotion, and distribution
- **Financial managers:**
  - Undertake accounting, cash management and investments
- **Operations managers:**
  - Control production, inventory, quality, and plant layout

# 1-3b Managing in Different Areas of the Organization (2 of 2)

- **Human resource managers:**
  - Hire and develop employees; planning, recruiting and selecting, training and development, retention
- **Administrative managers:**
  - Not associated with any particular management specialty; specialist with basic familiarity of all functional areas
- **Other types of managers:**
  - Public relations, research and development, social media specialist

# Poll 1

When an organization bids on acquiring new projects or customers, which type of manager is likely to offer input on that bid?

- A. Marketing
- B. Operations
- C. Financial
- D. Human resources
- E. All of the above



# Poll 1 Debrief

When an organization bids on acquiring new projects or customers, which type of manager is likely to offer input on that bid?

E. All of the above

Regardless of their levels or areas within an organization, all managers must play certain roles and exhibit certain skills if they are to be successful. A person does certain things, meets certain needs, and has certain responsibilities in the organization. Managers work together to offer specific skills in a variety of areas within the organization.



# 1-4a Managerial Roles

## Interpersonal Roles

- Figurehead
- Leader
- Liaison
- Involves dealing with other people.

## Informational Roles

- Monitor
- Disseminator
- Spokesperson
- Involves the processing of information.

## Decisional Roles

- Entrepreneur
- Disturbance handler
- Resource allocator
- Negotiator
- Relates primarily to making decisions.

# 1-4b Managerial Skills (1 of 3)

- **Technical skills:**
  - Those necessary to accomplish or understand the specific kind of work being done in an organization
    - Keeping up to date with changes in tax codes
- **Interpersonal skills:**
  - The ability to communicate with, understand, and motivate both individuals and groups
    - Giving a performance appraisal to a poor performer
- **Conceptual skills:**
  - The manager's ability to think in the abstract
    - Determining the use of next-generation technology

# 1-4b Managerial Skills (2 of 3)

- **Diagnostic skills:**
  - The manager's ability to visualize the most appropriate response to a situation
    - Understanding the relationship between declining sales and new product development
- **Communication skills:**
  - The manager's abilities to both effectively convey ideas and information to others and to effectively receive ideas and information from others
    - Verbal and nonverbal, writing emails, reports and proposals

# 1-4b Managerial Skills (3 of 3)

- **Decision-making skills:**
  - The manager's ability to correctly recognize and define problems and opportunities and to then select an appropriate course of action to solve problems and capitalize on opportunities
    - Stopping production because of a quality issue
- **Time-management skills:**
  - The manager's ability to prioritize work, to work efficiently, and to delegate appropriately
    - Making deadlines; postponing one activity to meet demands of higher priority activity

# Knowledge Check 2

- Which type of leadership role is used when a manager uses information to determine what actions he or she needs to make to respond to a potential problem?
  - A. Interpersonal
  - B. Informational
  - C. Decisional

**QUESTION**



# Knowledge Check 2: Answer

- Which type of leadership role is used when a manager uses information to determine what actions he or she needs to make to respond to a potential problem?

C. Decisional

- The manager's informational roles typically lead to the decisional roles. The information acquired by the manager as a result of performing the informational roles has a major bearing on important decisions that he or she makes.

**ANSWER**

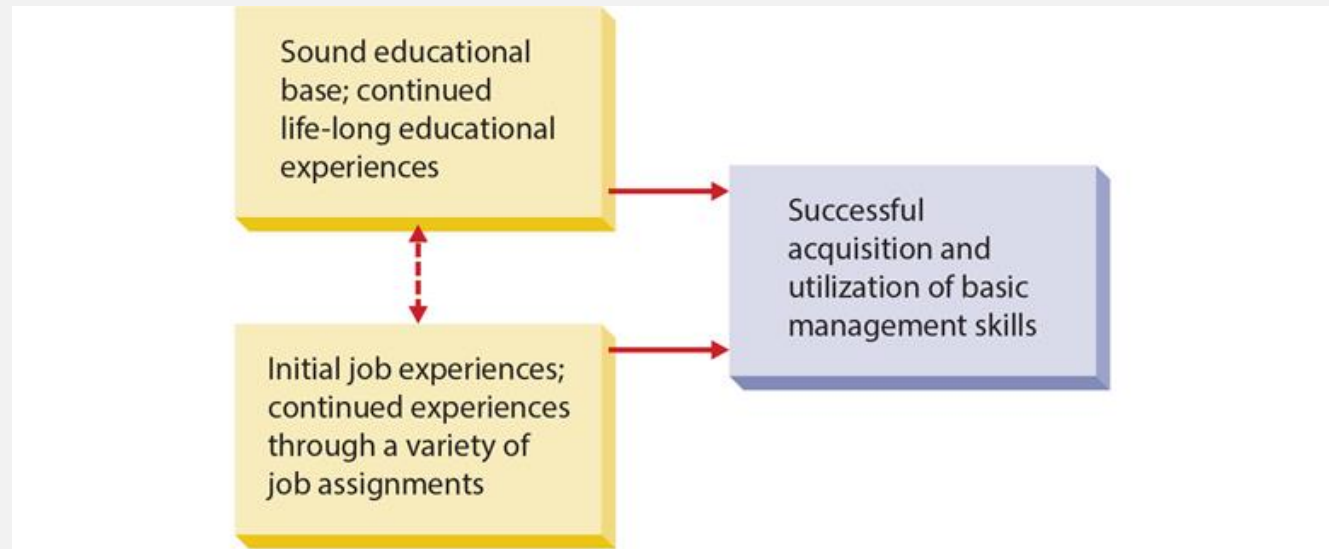


# 1-5a The Art and Science of Management

- **The science of management:**
  - Assumes that problems can be approached using rational, logical, objective, and systematic ways
  - Requires the use of technical, diagnostic, and decision-making skills and techniques to solve problems
- **The art of management:**
  - Making decisions and solving problems using a blend of intuition, experience, instinct, and personal insights
  - Using conceptual, communication, interpersonal, and time-management skills to accomplish the tasks associated with managerial activities

# 1-5b Becoming a Manager

Although there are many paths to becoming a manager, the most common path involves a combination of education and experience.



**FIGURE 1.4**

## **Sources of Management Skills**

Most managers acquire their skills as a result of education and experience. Though a few CEOs today do not hold college degrees, most students preparing for management careers earn college degrees and may go on to enroll in MBA programs.

# 1-5c The Scope of Management

## Profit Seeking

- Large businesses: industrial firms, commercial banks, insurance firms, retailers, transportation firms, utilities, communication firms, service organizations
- Small businesses and start-up businesses
- International management

## Not-for-Profit

- Governmental organizations: local, state, and federal
- Educational organizations: public and private schools, colleges, and universities
- Healthcare facilities: public hospitals and HMOs
- Nontraditional settings: community, social, spiritual groups

# Discussion Question #2

- Why is education important for managers? Formal education can often be general because it has to pertain to a large number of students. How can managers keep their education current in their field of expertise? What is the relationship between experience and education?



# 1-6 The New Workplace (1 of 3)

- **Diversity is increasing in the workforce.**
  - Diversity has numerous dimensions, but the most common are age, gender, ethnicity, and physical abilities and disabilities.  
**Diversity refers to differences among people.**
- **Demographic composition is changing.**
  - The “yuppies” of the 1980s were highly motivated.
  - Generation X, Y, and Millennials desire flexibility and individuality and are less devoted to long-term career prospects.
  - Declining birthrates affect the labor pool; the average age of U.S. workers is gradually increasing.

# 1-6 The New Workplace (2 of 3)

- **Changing demographics in the workplace:**
  - People living and working longer
  - Retirees now an excellent source of part-time and temporary employees
  - Increasing numbers of Hispanics and African Americans in the workplace, including immigrants and refugees
  - Increased opportunities for those with disabilities
- **Women in the workplace:**
  - Increasing numbers in both white- and blue-collar jobs
  - Moving into occupations previously dominated by males

# 1-6 The New Workplace (3 of 3)

- **Technology is an increasingly important challenge:**
  - Communication advances such as smartphones and wireless networks making it easier to communicate
  - Results in increased pace of work and amount of information that must be processed
  - Blurs lines of work and personal life
  - Creates vulnerabilities in terms of data breaches
- **Outcomes of technology of work processes:**
  - Can create flatter organizations
  - Use of work teams, including global and virtual teams

# The New Workplace

- Managers must create an attractive environment for today's worker.
- They must provide incentives to motivate a diverse workforce.
- Be prepared to cope with continual change.
- New technology remains a challenge.
- Managers now have a complex array of organizing possibilities.

# Discussion Question #3

- Technology such as smartphones allow us to work 24 hours a day, seven days a week. Do you respond to emails and text messages when you are not at work? Why or why not? How do we manage this blurring of lines? In what other ways has technology created challenges for managers?



# Summary (1 of 2)

Now that the lesson has ended, you will have learned how to:

- Describe the concepts of managers and management and their importance to contemporary organizations.
- Explain the four basic management functions in organizations.
- Describe the kinds of managers found at different levels and in different areas of the organization.



# Summary (2 of 2)

Now that the lesson has ended, you will have learned how to:

- Identify the basic managerial roles played by managers and the skills they need to be successful.
- Discuss the science and the art of management, how people become managers, and the scope of management in organizations.
- Characterize the new workplace that is emerging in organizations today.

